

company in the public marketplace, Gulf was less risky than “exploring for oil and gas at a time of plunging prices and excess supply.”¹⁸ The problem was how to have the market recognize the underlying intrinsic value of a major oil company when the majors had been “undervalued for 50 years.”¹⁹

Pickens’ plan was not to actually acquire Gulf, but to have it restructure, either by repurchasing stock or reorganizing as a royalty trust—a more tax-efficient structure than the corporate form adopted by most oil and gas companies, and one that passed through cash flows directly to shareholders. Morgan Stanley prepared a detailed presentation for Mesa demonstrating that the royalty trust could increase the value of major oil companies by as much as 50 percent. Pickens hoped that, if implemented, the royalty trust would lead to substantially higher values for all stockholders, and the stock price would follow suit. He believed that Gulf’s need for restructuring was self-evident. It was generating substantial cash flows, he wrote in his autobiography, but the prospects for reinvestment were poor. It was time to find a way to return the excess capital to shareholders.

Pickens considered several other possible targets, but kept returning to Gulf. Its overcapitalization and low returns on investment were characteristic of the industry. Importantly, it was trading at just a fraction of its intrinsic value; generating strong cash flow of \$3 billion per year; and paying a substantial dividend—so substantial, in fact, that Mesa’s carrying cost on the position was likely to be slightly positive, meaning it could hold out indefinitely if Gulf didn’t cut the dividend. Pickens estimated that the underlying assets alone were worth \$100 per share. The stock’s all-time was \$53, and in mid-1983 it languished in the low \$30s with little prospect for trading higher. Crucially, from Pickens’ perspective, was Gulf management’s very poor reputation. Already a laughingstock following a series of scandals and blunders in the 1970s, they had badly burned a number of investors by backing out of the 1982 bid for Cities Service, killing any possibility for goodwill in the professional investment community. Despite its enormous size relative to Mesa, it was the epitome of a deeply undervalued takeover target, offering limited downside risk and huge upside potential.

By September 1983 Mesa had spent \$350 million buying 8.5 million shares, representing 4.9 percent of Gulf Oil, and just below the 5 percent threshold that would require it to file with the SEC and disclose its holding to the market.²⁰ By the time Mesa filed with the SEC in October, it held 14.5 million shares, representing almost 9 percent of Gulf, acquired at a cost of \$638 million. Mesa filed a 13G notice indicating a passive investment, but its reputation as a hostile bidder caused Gulf’s management to panic. The board announced a special shareholders’ meeting for December. Their plan was to have Gulf change its charter and bylaws to remove several shareholder rights and to move the state of incorporation from Pennsylvania to Delaware, which